

Options :

6406533830503. ✓ 0.464

6406533830504. ✗ 0.393

6406533830505. ✗ 0.500

6406533830506. ✗ 0.429

Question Number : 110 Question Id : 6406531133791 Question Type : MCQ

Correct Marks : 2

Question Label : Multiple Choice Question

Calculate the closeness centrality of node E.

Options :

6406533830507. ✗ 0.538

6406533830508. ✗ 0.636

6406533830509. ✓ 0.583

6406533830510. ✗ 0.500

Corporate Finance

Section Id :	64065380101
Section Number :	5
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	26
Number of Questions to be attempted :	26
Section Marks :	100
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653172864
Question Shuffling Allowed :	No

Question Number : 111 Question Id : 6406531133792 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : CORPORATE FINANCE (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406533830511. ✓ YES

6406533830512. ✗ NO

Sub-Section Number :

2

Sub-Section Id :

640653172865

Question Shuffling Allowed :

Yes

Question Number : 112 Question Id : 6406531133793 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What should be the rate of interest per year (annually compounded) so that your money triples in 10 years?

Options :

6406533830513. ✗ 5.42%

6406533830514. ✗ 7.60%

6406533830515. ✓ 11.61%

6406533830516. ✗ 20.00%

Question Number : 113 Question Id : 6406531133794 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

An investment is expected to yield Rs 2,000 in two years, Rs 4,000 in 4 years, and Rs 6,000 in six years. If the constant rate of return is 10% (compounded annually), what is the present value of this investment (Rounded off to nearest integer)?

Options :

6406533830517. ✗ Rs 12,000

6406533830518. ✗ Rs 8,196

6406533830519. ✓ Rs 7,772

6406533830520. ✗ Rs 6,000

Question Number : 114 Question Id : 6406531133795 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose an asset earns an annual interest rate of 9% which is continuously compounded. If the asset sells for Rs 500 today, what will be its value after 3 years (Rounded off to nearest integer)?

Options :

6406533830521. ✖ Rs 382

6406533830522. ✖ Rs 500

6406533830523. ✖ Rs 635

6406533830524. ✔ Rs 655

Question Number : 115 Question Id : 6406531133796 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the present value of a perpetuity that pays Rs 800 next year, grows at a rate of 2% per year thereafter and faces a cost of capital of 10% per year?

Options :

6406533830525. ✖ Rs 40,000

6406533830526. ✔ Rs 10,000

6406533830527. ✖ Rs 8,000

6406533830528. ✖ Rs 4,000

Question Number : 116 Question Id : 6406531133797 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

You discover an antique in your attic that your father purchased 40 years ago for Rs 100. You auction it and receive Rs 50,000 for this item today. What is the annualized rate of return that is earned for the antique?

Options :

6406533830529. ✖ 8.32%

6406533830530. ✖ 12.50%

6406533830531. ✔ 16.81%

6406533830532. ✖ 50.00%

Question Number : 117 Question Id : 6406531133798 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

The LIC stock is trading at Rs 800 today. LIC is expected to pay a dividend of Rs 50 per share next year. If the growth rate of the LIC dividend is 4% every year and the appropriate rate of return is 10% per year, then according to the Gordon growth model

Options :

6406533830533. ✔ The LIC stock is underpriced, and an investor should buy LIC shares.

6406533830534. ✖ The LIC stock is overpriced, and an investor should buy LIC shares.

6406533830535. ✖ The LIC stock is underpriced, and an investor should sell LIC shares.

6406533830536. ✖ The LIC stock is overpriced, and an investor should sell LIC shares.

Question Number : 118 Question Id : 6406531133799 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suppose an investment costs Rs 6,000 today and pays off Rs 7,500 after two years. What is the internal rate of return on this investment?

Options :

6406533830537. ✖ 25.00%

6406533830538. ✖ 17.47%

6406533830539. ✔ 11.80%

6406533830540. ✖ 8.64%

Question Number : 119 Question Id : 6406531133800 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

There is a project which requires an initial investment of 500 units today. This project pays off 250 units after 2 years, 250 units after 4 years and 250 units after 6 years. If the prevailing constant interest rate in the economy is 10% (compounded annually) then what is the profitability index of the project?

Options :

6406533830541. ✖ 18.48

6406533830542. ✖ 4.68

6406533830543. ✔ 1.04

6406533830544. ✖ 0.80

Question Number : 120 Question Id : 6406531133801 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Consider the following three projects which have initial cost of Rs 5,000 today:

Project 1: It pays Rs 200 starting next year and pays the same amount for 50 years.

Project 2: It pays Rs 8,000 after five years from today. There are no interim payments.

Project 3: It pays Rs 2000 next year and Rs 4000 two years from today.

Assume that the prevailing interest rate is 4%; which of the projects has the least payback period?

Options :

6406533830545. ✖ All three projects have the same payback period.

6406533830546. ✖ Project 1

6406533830547. ✖ Project 2

6406533830548. ✔ Project 3

Question Number : 121 Question Id : 6406531133802 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

A project earns a total of 30% return in two years. If the annual return in the first year is 12%, then what is the annual return in the second year? (Round off to nearest integer)

Options :

6406533830549. ✓ 16%

6406533830550. ✗ 18%

6406533830551. ✗ 20%

6406533830552. ✗ 30%

Question Number : 122 Question Id : 6406531133803 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the annualized rate of return of an investment of 500 units that promises to return 800 units in 8 years?

Options :

6406533830553. ✗ 60.0%

6406533830554. ✗ 16.0%

6406533830555. ✗ 8.17%

6406533830556. ✓ 6.05%

Question Number : 123 Question Id : 6406531133804 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Consider a bond that pays Rs 400 in 3 years and Rs 600 in 5 years. What are the maturity and duration of the bond, respectively?

Options :

6406533830557. ✓ 5 years, 4.2 years

6406533830558. ✗ 4.2 years, 5 years

6406533830559. ✗ 5 years, 5 years

6406533830560. ✗ 5 years, 3 years

Question Number : 124 Question Id : 6406531133805 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

The table below relates to the economy of Galaland, where the typical consumer's market basket consists of 1 pair of clothes and 3 packets of food.

Year	Price of a pair of clothes	Price of a packet of food
2017	Rs 400	Rs 30
2018	Rs 380	Rs 50
2019	Rs 390	Rs 70

If the base year is 2017, then the economy's inflation rate (as measured by CPI) in 2018 is

Options :

6406533830561. ✓ 8.16%

6406533830562. ✗ 22.45%

6406533830563. ✗ -8.16%

6406533830564. ✗ -22.45%

Question Number : 125 Question Id : 6406531133806 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Assume Ramesh earns Rs 100 in period 1 and Rs 150 in period 2. He spends his earnings on consumption in both periods. The prices of consumption good in period 1 and period 2 are the same (equal to 1). If the prevailing interest rate is 25%, then the slope of the intertemporal budget constraint

Options :

6406533830565. ✗ 1.25

6406533830566. ✗ 0.80

6406533830567. ✗ -0.80

6406533830568. ✓ -1.25

Question Number : 126 Question Id : 6406531133807 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

In 2024, the nominal interest rate in the economy of Gondwana is 12%, and the real rate of interest is reported as 8%. What is the expected inflation rate for 2025 in the economy of Gondwana?

Options :

6406533830569. ✓ 3.70%

6406533830570. ✗ 5.42%

6406533830571. ✗ 7.60%

6406533830572. ✖ 11.61%

Question Number : 127 Question Id : 6406531133808 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Your portfolio consists of two blue bonds: each has a face value of 100 units and a probability of default $p_b = 15\%$. The blue bonds are perfectly correlated with each other ($\gamma = 1$). Through securitization, you are able to create two new bonds with face value: a senior bond and a junior bond. When none of the blue bonds defaults, each of the new bonds is paid a face value of 100. If any one of the blue bonds defaults, the senior bond is paid the face value of 100 while the junior bond suffers the loss and is paid 0. In case both the blue bonds default, none of the new bonds pay off. What is the probability that the junior bond will result in default?

Options :

6406533830573. ✖ 30%

6406533830574. ✖ 22.5%

6406533830575. ✔ 15%

6406533830576. ✖ 2.25%

Question Number : 128 Question Id : 6406531133809 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What type of yield curve is often associated with an impending recession?

Options :

6406533830577. ✖ Upward sloping yield curve

6406533830578. ✔ Inverted yield curve

6406533830579. ✖ Humped yield curve

6406533830580. ✖ Flat yield curve

Question Number : 129 Question Id : 6406531133810 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Suresh wants to build a house. He takes a home loan of Rs 5,00,000 at a 2% monthly interest rate for 10 years. What would be the equated monthly instalment (EMI) that he will be paying each month for the next 10 years, beginning next month (Round off to nearest integer)?

Options :

6406533830581. ✖ Rs 4,167

6406533830582. ✖ Rs 5,000

6406533830583. ✖ Rs 9,462

6406533830584. ✔ Rs 11,024

Question Number : 130 Question Id : 6406531133811 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following statements is true about the internal rate of return?

Options :

6406533830585. ✖ The internal rate of return is the rate at which the net present value of the cashflows is maximized.

6406533830586. ✔ The internal rate of return is the rate at which the net present value of the cashflows is zero.

6406533830587. ✖ The internal rate of return is the rate at which the net present value of the cashflows is minimized.

6406533830588. ✖ The internal rate of return is always greater than the cost of capital.

Question Number : 131 Question Id : 6406531133812 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

You believe in the power of compounding and decide to save Rs 100 per day by avoiding consumption of junk food. You deposit Rs 100 at the end of each day in a bank account that pays 3.65% annual interest rate compounded daily. How much money will you have in 2 years, assuming 365 days per year (use banking convention: daily interest rate = $r/365$, round off to the nearest integer)?

Options :

6406533830589. ✖ Rs 73,000

6406533830590. ✔ Rs 75,727

6406533830591. ✖ Rs 81,234

6406533830592. ✖ Rs 85,000

Question Number : 132 Question Id : 6406531133813 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

In 2024, the GDP deflator is 112 in the economy of Pangia. If the nominal GDP is accounted as 14,000 units in 2024, then what is the value of real GDP in 2024 for Pangia?

Options :

6406533830593. ✖ 15,680 units

6406533830594. ✖ 14,000 units

6406533830595. ✔ 12,500 units

6406533830596. ✖ 10,000 units

Question Number : 133 Question Id : 6406531133814 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

What is the annualized rate of return of an investment of Rs 10,000 that promises to return 20,000 in 5 years?

Options :

6406533830597. ✓ 14.87%

6406533830598. ✗ 11.61%

6406533830599. ✗ 7.18%

6406533830600. ✗ 20.00%

Question Number : 134 Question Id : 6406531133815 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Which of the following statements is correct?

Options :

6406533830601. ✗ Stocks of a company are an example of fixed income security.

6406533830602. ✗ The price of a bond increases if the interest rate offered on that bond increases.

6406533830603. ✗ Shares of a company have a maximum maturity of 5 years.

6406533830604. ✓ A zero-coupon bond pays only at maturity. There are no interim payments.

Question Number : 135 Question Id : 6406531133816 Question Type : MCQ

Correct Marks : 4

Question Label : Multiple Choice Question

Sahitya Inc. is considering two different projects, A and B, for investment and can choose at most one project to invest in. Project A costs Rs 12,000 and is expected to generate Rs 5,000 in year one and Rs 10,000 in year two. Project B costs Rs 10,000 and is expected to generate Rs 5,000 in year one, Rs 4,000 in year two, Rs 3,000 in year three, and Rs 2,000 in year four. Sahitya Inc.'s required rate of return for these projects is 5%. Suppose at most one project can be chosen. Which of the following is true?

Options :

6406533830605. ✓ Sahitya Inc. should prefer Project B as it has a higher net present value than Project A.

6406533830606. ✗ Sahitya Inc. should prefer Project A as it has a higher net present value than Project B.

6406533830607. ✗ Sahitya Inc. is indifferent between Project A and Project B as both have the same net present value.

6406533830608. ✗ Sahitya Inc. should not invest in either projects A or B as both have a negative net present value.

Question Number : 136 Question Id : 6406531133817 Question Type : MCQ